

Indian Oil Corporation Ltd. v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 18 January 2024 · 2024:AHC:8729-DB · WRIT - C No. 31555 of 2022 · **Writ petition allowed**

HEADNOTE

A distribution licensee cannot invoke Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 (which continues parallel-operating charges “till the termination of the agreement”) to keep billing indefinitely for a facility it has itself physically disconnected, where the delay in terminating or amending the agreement is attributable to the licensee. No one may take advantage of his own wrong (*commodum ex injuria sua nemo habere debet*); once the parallel-operating service was disconnected in September 2007, no charge could be levied for it thereafter, notwithstanding the un-amended agreement. Acquiescence, however, cuts both ways: it bars the consumer's claim to refund charges it paid up to 2007 without demur.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.26(e)

Parallel-operating charges under pre-existing (“old”) agreements

QUESTION

Does Clause 4.26(e) (“condition of paying parallel operational charges shall prevail till the termination of the agreement”) entitle a licensee to keep billing after it has itself disconnected the facility, where the termination/amendment was delayed by its own default?

HOLDING

No. The clause preserves the charge only till termination and is read subject to the maxim that no party may take advantage of its own wrong. Charges end with actual disconnection (28.9.2007); the demand for January 2008-30.11.2018, with interest, is quashed. ¶ 38-40, 45, 50, 58-60, 64

LIMITING FACTS

Licensee disconnected the HT cable and sealed the grid incomer panel in September 2007, yet refused to amend the agreement until December 2018 despite the consumer's requests since 2001; the delay was wholly attributable to the licensee.

QUALIFIER

No refund of charges paid pre-disconnection without demur — acquiescence bars the consumer's refund claim.

INTERPLAY · EA2003::56(2)

Limitation on recovery — recurring companion provision in Supply Code litigation

HOLDING

“Sum due” means an amount adjudicated between the parties; un-adjudicated, escalating demands raised years after the service ended are barred. ¶ 21-23, 61-64

FLAG Respondent pleaded this as “Clause 56(2) of the U.P. Supply Code”; the provision quoted and applied is s.56(2) of the Act. Recorded, not merged.

PRINCIPLE TAGS

own-wrong-maxim Applied against a distribution licensee: the procedural prerequisite (amending the agreement) is deemed waived within a reasonable time of the consumer's request. Lead authorities: *M.K. Shah Engineers & Contractors v. State of M.P.* [1848972], *Kusheshwar Prasad Singh v. State of Bihar* [655432], *Mrutunjay Pani v. Narmada Bala Sasmal, Chairman, SBI v. M.J. James* [15924357], *Nirmala Anand v. Advent Corporation (Pvt.) Ltd.* [1469962]. ¶ 48-59

acquiescence-cuts-both-ways Bars the consumer's refund of charges paid without demur and the licensee that only raised bills, never pursuing statutory recovery (s.52 noted). ¶ 47, 61-64

NOT DECIDED — CAPTIVE/OPEN-ACCESS SURCHARGE ARGUMENT

s.42(4), on *MSEDCL v. JSW Steel*, and s.2(47) were raised but the Court did not rest its decision on them. This case is not authority on that point. [72255341] ¶ 18-19, 26-28

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	TREATMENT
<i>M.K. Shah Engineers & Contractors v. State of M.P.</i> [1848972] Supreme Court	No one may take advantage of one's own wrong; a party whose conduct disables a preceding procedural step is deemed to have waived it.	Quoted (¶ 51) and applied: the prerequisite of amending the agreement deemed waived within a reasonable time of the consumer's request. ¶ 51-52	Followed
<i>Mrutunjay Pani v. Narmada Bala Sasmal</i> AIR 1961 SC 1353 Supreme Court	Commodum ex injuria sua nemo habere debet — no one can be allowed to benefit from his own wrongful act.	Quoted (¶ 53) as the foundation of the maxim; applied against the licensee's default. ¶ 53, 58	Followed
<i>Kusheshwar Prasad Singh v. State of Bihar</i> [655432] Supreme Court	An authority cannot take undue advantage of its own default in discharging a statutory duty; a wrongdoer ought not to profit from his own wrong.	Quoted (¶ 54) and applied to the licensee's 7-year delay in disconnecting and 10-year delay in amending. ¶ 54, 58	Followed
<i>Chairman, SBI v. M.J. James</i> [15924357] Supreme Court	The court must consciously examine whether a party has sat over a matter and woken up to gain advantage; delay and laches are balanced accordingly.	Quoted (¶ 55); relied on to weigh the licensee's sitting-over against its demand. ¶ 55, 58	Relied on
<i>Nirmala Anand v. Advent Corporation (Pvt.) Ltd.</i> [1469962] Supreme Court	A party cannot take advantage of its own wrong; to permit it would confer an unfair advantage.	Cited (¶ 57) in support of the maxim. ¶ 57	Relied on
<i>Dehri Rohtas Light Railway Co. v. District Board, Bhojpur</i> [574042] Supreme Court	Delay/laches: whether a party has chosen to sit over the matter to gain advantage.	Noticed within the M.J. James extract and listed in the catena. ¶ 55, 58	Referred
<i>MSEDCL v. JSW Steel Ltd.</i> [72255341] Supreme Court	Captive consumers bear no additional surcharge under s.42(4) even when not drawing from the licensee; such a levy would be discriminatory.	Cited by the petitioner (¶ 27); noted, but the Court did not rest its decision on the captive/open-access point. ¶ 27	Referred
<i>PTC India Ltd. v. CERC</i> [395434] Supreme Court (Constitution Bench)	Regulations, as part of the regulatory framework, intervene in and even override existing contracts between regulated entities.	Cited by the petitioner (¶ 28); noted, not made a basis of the decision. ¶ 28	Referred
<i>Broom's Legal Maxims (10th Edn.), p. 191</i> Treatise	No man shall take advantage of his own wrong — recognised in courts of law and of equity.	Extracted (¶ 56) in support of the maxim. ¶ 56	Referred